

M/s Gill Polymers (through its Proprietor Naresh Gill) v. U.P. Power Corporation Ltd. & 2 Others

High Court of Judicature at Allahabad · Division Bench · 20 April 2023 (final judgment; earlier orders of 24.3.2023 and 6.4.2023) · Writ-C No. 9405 of 2023 · **Writ petition allowed to the extent indicated. The impugned order dated 15.2.2023, by which the Executive Engineer, EDD-III, Shamli (respondent no.2) had rejected M/s Gill Polymers' application for a new electricity connection on the ground of outstanding dues of Rs.2,14,87,794 against the erstwhile owner M/s Sikka Papers Ltd., was quashed, and respondent no.2 was directed to consider the application and pass an appropriate order within two weeks. Gill Polymers was the successful resolution applicant whose resolution plan for Sikka Papers Ltd. had been approved by the NCLT on 1.4.2022. The Division Bench held that, by Section 238 of the Insolvency and Bankruptcy Code, 2016 the IBC overrides inconsistent laws, and that under Section 31 an approved resolution plan binds all stakeholders, including Government and local authorities to whom statutory dues are owed; and, following Ghanshyam Mishra and Sons Pvt. Ltd. v. Edelweiss Asset Reconstruction Company Ltd., (2021) 9 SCC 657, that on approval of a resolution plan all claims (including statutory dues) not forming part of the plan stand extinguished. The licensee having admittedly filed no claim before the Resolution Professional, and the electricity dues of Sikka Papers not being part of the approved plan, those dues stood extinguished; the Clause 4.3(f)(2) arrears bar relied on by respondent no.2 was therefore unsustainable and in conflict with the IBC.**

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HEADNOTE

On approval of a resolution plan under Section 31 of the Insolvency and Bankruptcy Code, 2016, the pre-CIRP electricity dues of the erstwhile owner, if not part of the plan, stand extinguished; the licensee, having filed no claim before the Resolution Professional, cannot invoke the Clause 4.3(f) arrears bar of the U.P. Electricity Supply Code, 2005 to refuse the resolution applicant a new connection, the IBC overriding the Code by force of Section 238. M/s Sikka Papers Ltd. was declared NPA in 2009 and went into CIRP; the petitioner, M/s Gill Polymers, was the resolution applicant whose plan was approved by the NCLT on 1.4.2022. The petitioner applied for a new 200 KW connection on 16.1.2023, but the Executive Engineer rejected it (order dated 15.2.2023) on the ground of dues of Rs.2,14,87,794 against Sikka Papers, invoking Clause 4.3(f)(2) of the Code (dues to be cleared, or specified in the sale deed, before a new connection). Allowing the writ petition, the Division Bench held that Section 238 of the IBC gives it overriding effect over inconsistent laws; that under Section 31 an approved resolution plan binds all stakeholders including the Central and State Governments and local authorities to whom statutory dues are owed; and that, per Ghanshyam Mishra and Sons Pvt. Ltd. v. Edelweiss Asset Reconstruction Company Ltd., (2021) 9 SCC 657, on approval of the plan all claims not part of it — including statutory dues — stand extinguished, with no proceedings for pre-approval dues permissible thereafter. As the licensee had admittedly filed no claim before the Resolution Professional and the electricity dues were not part of the approved plan, they stood extinguished; the Clause 4.3(f)(2) ground was unsustainable and in conflict with the IBC. The rejection order was quashed and the Executive Engineer directed to consider the application afresh within two weeks.

FACTUAL SUMMARY

M/s Sikka Papers Ltd. (Village Shamli, Muzaffarnagar; incorporated 21.9.1984) was declared a non-performing asset on 31.12.2009, and its financial creditors took possession of the plant on 9.10.2010. A financial creditor, M/s Oriental Bank of Commerce, initiated a Corporate Insolvency Resolution Process; in Company Petition No.(IB)-939(PB)/2018 a Resolution Professional was appointed on 22.5.2019 and issued an invitation for Expression of Interest. The petitioner, M/s Gill Polymers (through its proprietor Naresh Gill), submitted a resolution plan, which was approved by the National Company Law Tribunal, Principal Bench, New Delhi on 1.4.2022. The petitioner then applied on 16.1.2023 for a new electricity connection of 200 KW load, completing all formalities, and the Resolution Professional wrote to the Executive Engineer requesting the connection and apprising him that the approved plan bound all stakeholders. By order dated 15.2.2023 the Executive Engineer, EDD-III, Shamli (respondent no.2) rejected the application on the ground that dues of Rs.2,14,87,794 were outstanding in respect of the connection in the name of M/s Sikka Papers Ltd. In his counter affidavit he relied on Clause 4.3(f)(2) of the U.P. Electricity Supply Code, 2005 (before a sale of premises, the outstanding dues must be cleared, or the sale/agreement deed must specify the dues and the method of payment), contending that no new connection could be granted until the dues were paid and a No Objection Certificate obtained. It was admitted that respondents 1 and 2 had filed no claim before the Resolution Professional. The petitioner challenged the rejection, relying on Sections 30, 31, 37(c) and 238 of the IBC and on Ghanshyam Mishra and Sons Pvt. Ltd. v. Edelweiss Asset Reconstruction Company Ltd. The Division Bench (Hon'ble Surya Prakash Kesarwani, J.

and Hon'ble Anish Kumar Gupta, J.), by judgment dated 20.4.2023, allowed the petition to the extent of quashing the rejection and directing reconsideration.

REUSABLE CONSTRUCTIONS

1. Section 238 of the Insolvency and Bankruptcy Code, 2016 gives the IBC overriding effect over anything inconsistent in any other law; and under Section 31 an approved resolution plan binds all stakeholders, including the Central and State Governments and local authorities to whom statutory dues are owed. ¶ ¶ 6
2. On approval of a resolution plan under Section 31, all claims not forming part of the plan — including statutory dues owed to Government and local authorities — stand extinguished, and no proceedings for such pre-approval dues may thereafter be initiated or continued (Ghanshyam Mishra). ¶ ¶ 7
3. Where a distribution licensee files no claim before the Resolution Professional and the erstwhile owner's electricity dues are not part of the approved resolution plan, those dues stand extinguished, and the Clause 4.3(f) arrears bar of the U.P. Electricity Supply Code, 2005 cannot be invoked to refuse the resolution applicant a new connection. ¶ ¶ 3, 8

HOLDING-UNITS

INTERPLAY · IBC::31

RATIO

An approved resolution plan under Section 31 binds all stakeholders including authorities owed statutory dues, and by Section 238 overrides inconsistent laws; claims not part of the plan stand extinguished (Ghanshyam Mishra)

QUESTION

What is the effect of an approved resolution plan on statutory dues (such as electricity dues) that are not part of the plan, and does the IBC override an inconsistent provision of the U.P. Electricity Supply Code?

HOLDING

By Section 238 the IBC has effect notwithstanding anything inconsistent in any other law, and by Section 31 an approved resolution plan is binding on the corporate debtor and all stakeholders, including the Central and State Governments and local authorities to whom statutory dues are owed. Following Ghanshyam Mishra and Sons Pvt. Ltd. v. Edelweiss Asset Reconstruction Company Ltd., once the Adjudicating Authority approves the resolution plan, all claims not forming part of the plan — including statutory dues owed to Government or a local authority — stand extinguished, and no proceedings in respect of such pre-approval dues may be initiated or continued. The IBC accordingly overrides the inconsistent Clause 4.3(f) arrears bar of the U.P. Electricity Supply Code, 2005. ¶ ¶ 6-8

EVIDENCE “Section 238 of the IBC provides that the provisions of the IBC shall have effect notwithstanding anything inconsistent therewith contained in any other law for the time being in force” ¶ ¶ 6

EVIDENCE “On the date of approval of resolution plan by the Adjudicating Authority, all such claims, which are not a part of resolution plan, shall stand extinguished and no person will be entitled to initiate or continue any proceedings in respect to a claim, which is not part of the resolution plan” ¶ ¶ 7

FLAG Judgment with numbered paragraphs (pin_basis=paragraph). Section 31 of the IBC quoted; Ghanshyam Mishra para 95 reproduced in ¶ 7.

INTERPLAY · UP-2005::4.3(f)

RATIO

The Clause 4.3(f) arrears bar cannot be invoked against a resolution applicant's new connection where the erstwhile owner's dues stand extinguished under an approved resolution plan and the licensee filed no claim in the CIRP

QUESTION

Can the licensee refuse a resolution applicant a new connection under the Clause 4.3(f) arrears bar on account of the erstwhile owner's electricity dues, where those dues were not part of the approved resolution plan?

HOLDING

No. The licensee had admittedly filed no claim before the Resolution Professional, and the electricity dues of the erstwhile owner (M/s Sikka Papers Ltd.) were not part of the approved resolution plan; those dues therefore stood extinguished on approval of the plan. The ground taken in the impugned order — that under Clause 4.3(f)(2) of the Code the dues had to be cleared (or specified in the sale deed) before a new connection — was consequently unsustainable

and in conflict with the IBC and with Ghanshyam Mishra, and the rejection order dated 15.2.2023 was quashed with a direction to reconsider the application. ¶ ¶ 3-4, 8

EVIDENCE “as per clause 4.3(f)(2) of the U.P. Electricity Supply Code, 2005, before a sale of premise is made, the outstanding dues has to be cleared” ¶ ¶ 4

EVIDENCE “the ground taken by the respondent No.2 in the impugned order to reject the application of the petitioner for new electricity connection is totally unsustainable and in conflict with the provisions of IBC” ¶ ¶ 8

EVIDENCE “It is admitted case of the of the respondent Nos.1 and 2 that they have not filed any claim before the Resolution Professional” ¶ ¶ 3

FLAG The clause is cited as 4.3(f)(2) in the counter affidavit; the corpus spine keys the arrears bar as UP-2005::4.3(f).

PRINCIPLE TAGS

section-238-ibc-overrides-supply-code-clause-4.3f Section 238 gave the IBC overriding effect over the Clause 4.3(f) arrears bar, which could not defeat the resolution applicant's new connection. Lead authorities: *Ghanshyam Mishra and Sons Pvt. Ltd. v. Edelweiss Asset Reconstruction Company Ltd.* ¶ ¶ 6-8

resolution-plan-extinguishes-pre-cirp-electricity-dues-clean-slate The pre-CIRP electricity dues of Sikka Papers, not part of the approved plan and never claimed by the licensee, stood extinguished, giving the resolution applicant a clean slate for a new connection. Lead authorities: *Ghanshyam Mishra and Sons Pvt. Ltd. v. Edelweiss Asset Reconstruction Company Ltd.* ¶ ¶ 6-8

duty-to-supply-survives-extinguishment-of-right-to-recover With the erstwhile owner's dues extinguished, the licensee's arrears-bar ground fell away and it was directed to consider the resolution applicant's new-connection application. ¶ ¶ 8

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — THE CORRECTNESS OR QUANTUM OF THE ELECTRICITY DUES OF RS.2,14,87,794 AGAINST M/S SIKKA PAPERS LTD.

Not gone into; those dues stood extinguished on approval of the resolution plan, the licensee having filed no claim, so their quantum was immaterial to the new connection. ¶ ¶ 3, 8

RELATED CASES — SEE ALSO

SCJ-2217 — Closest sibling: the Clause 4.3(f) arrears bar against a new connection displaced by IBC Section 31/238 extinguishment of pre-CIRP dues (clean slate).

SCJ-2219 — Clause 4.3(f) arrears bar on a new connection — contrast: there the dues were merely sub-judice (not extinguished), so the bar applied.

SCJ-2211 — Clause 4.3(f) arrears bar on a new connection (addressed through the undertaking route) — arrears-bar family.

SCJ-2207 — Applies the Ghanshyam Mishra IBC clean-slate principle to electricity dues — extinguishment sibling.

SCJ-054 — IBC extinguishment of pre-resolution dues under Ghanshyam Mishra — cognate clean-slate sibling.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Ghanshyam Mishra and Sons Pvt. Ltd. v. Edelweiss Asset Reconstruction Company Ltd.</i> (2021) 9 SCC 657 (Para 95) Supreme Court of India	Once a resolution plan is approved under Section 31(1), claims not part of the plan stand frozen and, on the date of approval, all such claims — including statutory dues owed to the Central Government, any State Government or a local authority — stand extinguished, and no proceedings in respect of pre-approval dues may be initiated or continued; the 2019 amendment to	Followed ¶ ¶ 7	Petitioner	Followed

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
	Section 31 is clarificatory and declaratory.			
<i>Damodar Valley Corporation v. Dimension Steel and Alloys and others</i> Company Appeal (AT)(Insolvency) No. 62/2022 (NCLAT), dated 23.05.2022, Para 20 National Company Law Appellate Tribunal, Principal Bench, New Delhi	An approved resolution plan extinguishes claims not forming part of it, binding statutory authorities including for electricity dues.	Referred ¶ order of 24.3.2023 (petitioner's submissions)	Petitioner	Referred

SCJ-2225 · M/s Gill Polymers (through its Proprietor Naresh Gill) v. U.P. Power Corporation Ltd. & 2 Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.